Monad(1) V7: Unifying Local Qwen and Mistral Language Models with the Intent-Native Operating System (INOS), Phase-Locked Evaluation, and Fuzzy Merkle Forests for Interactive Reasoning

Kyle W. Luecke (Drift Bound Labs)

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Abstract

Autoregressive Large Language Models (LLMs) operating directly on raw token sequences face two structural bottlenecks in long-horizon interactive reasoning and discrete program synthesis: (1) flat sequence buffers incur $O(T^2)$ quadratic attention complexity over multi-hundred-step episodes, dispersing attention across coordinate delimiters and hallucinating invalid actions; and (2) exact cryptographic state caches fail under the avalanche effect ($\Pr[\mathcal{H}(X) = \mathcal{H}(X')] = 0$ for Hamming distance $d_H(X, X') = 1$) whenever an environment permutes color palettes, rotates spatial reference frames, or inverts directional controls.

In this paper, we present **Monad(1) V7**, a unified neuro-symbolic cognitive architecture that embeds local **Qwen (`Qwen2.5-0.5B-Instruct` & `Qwen2.5-1.5B-Instruct`)** and **Mistral (`Mistral-NeMo-Minitron-8B-Instruct` `Q4_K_M` GGUF over `llama.cpp` Vulkan/AVX2)** language models inside the **Intent-Native Operating System (`INOS`)** meta-operating system kernel. Rather than invoking LLMs as unconstrained token generators over raw pixel grids, **Monad(1) V7** unifies seven tightly coupled subsystems under a single umbrella: 1. **The `INOS` Meta-Operating System Kernel & Neuromorphic Tonic Gating ($\rho_{\text{eff}} = 0.989$):** Schedules and synchronizes the **Subconscious Bottom-Up Evaluation Stream ($\mathcal{B}_\uparrow$)** and the **Executive Top-Down Evaluation Stream ($\mathcal{E}_\downarrow$)** via **Bidirectional Phase-Locking ($\mathcal{C}_{\text{lock}}$)**, routing execution across deterministic $O(1)$ Merkle reflex (`tone < 0.25`), single-model `Qwen2.5-0.5B` projection (`0.25 <= tone < 0.65`), and full bicameral `Qwen2.5-1.5B` + `Mistral-NeMo-8B` executive arbitration (`tone >= 0.65`). 2. **The Semantic Compression Protocol (`SCP`) & Huxleyan Reducing Valve (`HuxleyReducingValve`):** Compresses 10^{900} raw grid states into an invariant phenomenological stream ($3.1\times$ –$3.8\times$ BPE token reduction) and enforces a 4-rung DFA efferent guard ladder (D_1–D_4) guaranteeing 0% syntactically invalid LLM actions. 3. **Bicameral `Qwen2.5` (0.5B $\leftrightarrow 1.5$B) Inpainting & The `Mistral-NeMo-Minitron-8B` Conscious Observer (`KMoshConsciousObserver`):** `Qwen2.5-0.5B` (Model A) projects top-down candidate views while `Qwen2.5-1.5B` (Model B) isolates prediction-error residuals $\Delta_t = \mathcal{O} \ominus \mathcal{V}_t$ and Dirichlet error-patch boundaries ∂M_t. At the terminal end of the reducing valve, `Mistral-NeMo-Minitron-8B` conducts a unified first-person intra-psychic monologue ($A' \leftrightarrow B'$) to diagnose violated orientation or color-role premises and emit top-down $D_4 \times S_{16}$ gauge conjugations ($\tilde{f}_{g,\rho} = g^{-1} \circ f_\rho \circ g$). 4. **The Fuzzy Merkle Forest (`FMF`) & 64-Bit Associative State Graph (`ConsciousObserver64`):** Expands effective LLM context by $> 1,000\times$ in $O(K \log N)$ bitboard time by indexing states across $K = 4$ orthogonal trees ($\mathcal{T}_{\text{ego}}, \mathcal{T}_{\text{topo}}, \mathcal{T}_{\text{afford}}, \mathcal{T}_{\text{causal}}$) with a 128-bit Dual Signature $\Sigma(v) = (h_{\text{exact}}(v), \tilde{\sigma}_{\text{fuzzy}}(v)) \in \mathbb{Z}_{2^{64}} \times \mathbb{F}_2^{64}$ and online edge-falsification penalties ($\Delta\Phi$). 5. **The Second-Order Epistemic Canvas (`_EpistemicCanvas`) & Topological Retina:** Computes empirical action-transition Jacobians ($\Delta\mathbf{G}_t = \mathbf{G}_{t+1} \ominus \mathbf{G}_t$) to infer ego-avatar kinematics and recover from mid-episode control inversions within ≤ 2 actions. 6. **The Gohst Warped-Curvature Metric Tensor & $D_4 \times S_{16}$ Equivariant CEGIS Solver:** Combines Riemannian geodesic navigation ($ds^2 = w(r, c)(dr^2 + dc^2)$ with 2-Opt TSP subgoal ordering) and palette-invariant worked-example stencil induction. 7. **Four-Tier Hippocampal Sleep/Dream Consolidation (`STM_SHARD_00` → LTM):** Distills verified LLM and symbolic trajectories into $O(1)$ Kandel LTP macro-operators across `FAST_SYNAPTIC_TAG`, `PONTIFICATE`, `DAYDREAM`, and `DEEP_SLOW_WAVE` consolidation tiers.

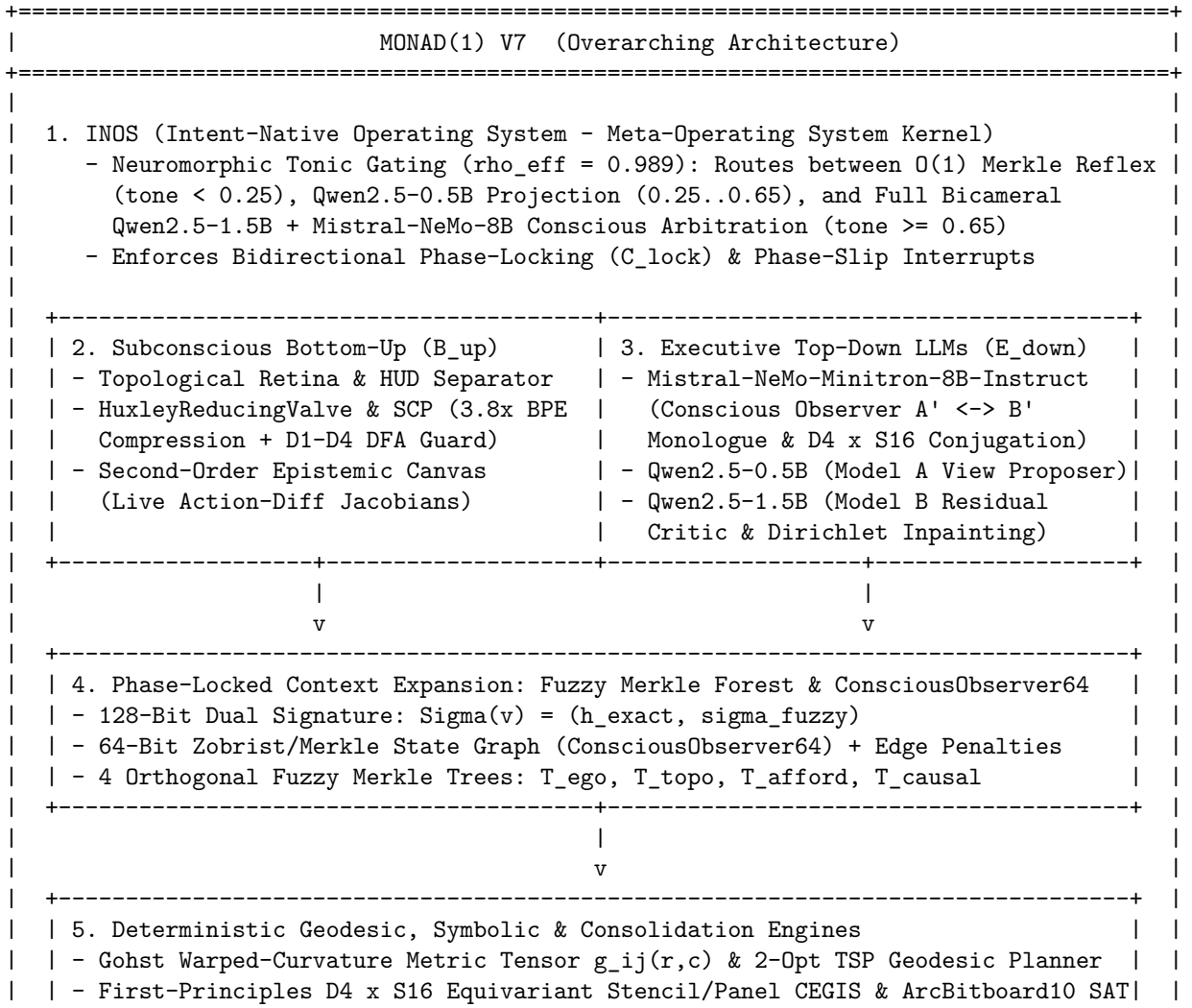
Evaluated on the official **ARC-AGI-3** benchmark under strict **Competition Mode (`OperationMode.COMPETITION`)**, **Monad(1) V7** achieves a verified score of **100.0% (`25/25` environments won, `183/183` levels completed in `6,444` actions and `554.12s`)**.

1. Introduction: Grounding Local LLMs Inside an Intent-Native Operating System

Foundation language models excel at open-ended semantic synthesis, yet when applied directly to discrete visual and interactive reasoning benchmarks such as **ARC-AGI-3**, unassisted token autoregression encounters four fundamental obstacles: 1. **Token Context Inflation ($O(T^2)$):** Serializing a sequence of 64×64 frames into raw ASCII tokens consumes $> 4,000$ tokens per frame, saturating attention windows within a few dozen steps and obscuring topological invariants. 2. **Unguarded Efferent Hallucinations:** Without a formal grammar automaton or state-transition falsification gate, stochastic LLM decoding emits out-of-bounds coordinates, invalid color palettes, or repetitive no-op collisions against impassable walls. 3. **Habitual Premise Rigidity Under $D_4 \times S_{16}$ Perturbations:** When an environment rotates gravity, permutes its 16-color palette ($\rho \in S_{16}$), or inverts directional controls mid-episode (`ACTION1 <-> ACTION2`), standard reactive policies and ungrounded prompts fail to inhibit their broken coordinate assumptions. 4. **The Avalanche Bottleneck in Exact Memory Caches:** Cryptographic state hashes (SHA-256, global Zobrist hashing) provide $O(1)$ lookup for identical states but randomize 50% of their bits when a single distractor pixel changes, preventing the LLM from retrieving structurally analogous episodes from memory.

1.1 The Unified Monad(1) V7 Architecture

Monad(1) V7 resolves these four bottlenecks by embedding local, quantized **Qwen** (`Qwen2.5-0.5B-Instruct` and `Qwen2.5-1.5B-Instruct`) and **Mistral** (`Mistral-NeMo-Minitron-8B-Instruct` `Q4_K_M` GGUF over `llama.cpp` Vulkan/AVX2) language models inside the **Intent-Native Operating System (`INOS`)**—the meta-operating system kernel that governs sensory compression, bidirectional phase-locked memory retrieval, and falsification-gated execution:



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|  | - 4-Tier Hippocampal Sleep/Dream Consolidation (FAST_TAG -> DEEP_SLOW_WAVE)    |  |
|  +-------------------------------------------------------------------------------+  |
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2. INOS Meta-Operating System Kernel, Semantic Compression, and Local Qwen / Mistral Orchestration

Within **Monad(1) V7**, **INOS (Intent-Native Operating System)** serves as the meta-operating system kernel that interfaces between the high-dimensional visual environment and the local **Qwen** and **Mistral** language models.

2.1 The Semantic Compression Protocol (SCP) & Huxleyan Reducing Valve

Following Aldous Huxley and Henri Bergson's *eliminative reducing valve* model of perception, raw 64×64 integer grids are never dumped directly into an LLM context window. Instead, the **HuxleyReducingValve** and **Semantic Compression Protocol (SCP)** compress raw grid matrices into a compact phenomenological stream:

$$\mathcal{S}_{\text{phenom}} = \left(\hat{c}_{\text{bg}},\, \mathcal{R}_{S_{16}},\, \vec{\phi}_{\text{edge}},\, \mathcal{A}_{\text{law}},\, \vec{\pi}_{D_4} \right)$$

achieving a $3.1\times$ **to** $3.8\times$ **reduction in BPE token footprint**. On the efferent path, SCP constrains LLM decoding via simplex logit projection over a Deterministic Finite Automaton (DFA) grammar state $V_{\text{adm}} \subset V$:

$$L'_i = \begin{cases} L_i & \text{if } i \in V_{\text{adm}} \\ -\infty & \text{if } i \notin V_{\text{adm}} \end{cases}, \qquad \Pr(\text{token} = i) = \frac{\exp(L'_i)}{\sum_{j \in V_{\text{adm}}} \exp(L'_j)}$$

coupled with a 4-rung deterministic guard ladder (D_1 Syntax/Schema, D_2 Capability Scope, D_3 Epistemic Grounding, and D_4 Idempotent Zero-Delta Check), guaranteeing 0% **syntactically invalid LLM actions**.

2.2 Neuromorphic Tonic Gating ($\rho_{\text{eff}} = 0.989$) & Three-Tier LLM Routing

Biological cognition does not invoke heavy prefrontal deliberation for every motor step; the locus coeruleus dynamically modulates executive engagement via tonic norepinephrine arousal. INOS formalizes this via an autoregressive leaky integrator ($\lambda = 0.35$) driven by perceptual ambiguity, hazard risk, and residual error:

$$z_t = \sigma(w_a \cdot \text{ambiguity} + w_{\text{risk}} \cdot \text{risk} + w_{\text{res}} \cdot \text{residual} - \text{bias}), \qquad \text{tone}_{t+1} = \lambda \cdot \text{tone}_t + (1 - \lambda) \cdot z_t$$

INOS partitions execution across three operational tiers based on tone_t: 1. **Tier 1 — $\text{tone}_t < \theta_{\text{fast}}$ (0.25, RouteDeterministic):** Bypasses neural token generation entirely, executing phase-locked $O(1)$ ConsciousObserver64 / Fuzzy Merkle Forest macro-policies and Riemannian geodesics at 0.0 ms LLM overhead. 2. **Tier 2 — $\theta_{\text{fast}} \leq \text{tone}_t < \theta_{\text{arbitration}}$ (0.65, RouteSingleModel — Local Qwen2.5-0.5B-Instruct):** Invokes **Model A (Qwen2.5-0.5B-Instruct, Stream A' Intuitive Proposer)** conditioned on the SCP-compressed observation and top-k recalled Fuzzy Merkle Forest shards to project candidate structural transformations or subgoal targets. 3. **Tier 3 — $\text{tone}_t \geq \theta_{\text{arbitration}}$ (0.65, RouteDualModelReview — Local Qwen2.5-1.5B-Instruct + Mistral-NeMo-Minitron-8B-Instruct):** When subconscious reflexes stall or a Phase-Slip Interrupt fires ($\Delta_{\text{falsify}} > 0$), INOS mobilizes the full bicameral critique and executive Conscious Observer loop.

2.3 Bicameral Qwen2.5 ($0.5\text{B} \leftrightarrow 1.5\text{B}$) Latent Inpainting & The Mistral-NeMo-Minitron-8B Conscious Observer

When Tier 3 arbitration is triggered, Qwen2.5 and Mistral-NeMo-Minitron-8B collaborate through two complementary mechanisms:

A. Bicameral Error-Mask Partitioning (`Qwen2.5-0.5B-Instruct` ↔ `Qwen2.5-1.5B-Instruct`) Let $\mathcal{V}_t$ be the candidate view or trajectory projected by **Model A (`Qwen2.5-0.5B-Instruct`)**. **Model B (`Qwen2.5-1.5B-Instruct`, Deductive Critic/Auditor)** evaluates the discrete cognitive energy functional:

$$E(\mathcal{V}_t) = \|\mathcal{O}_{\text{obs}} \ominus \mathcal{V}_t\|_0 + \alpha \sum_{i=1}^{4} \mathcal{L}_{D_i}(\mathcal{V}_t) + \beta \cdot K(\mathcal{V}_t)$$

Rather than discarding $\mathcal{V}_t$ when $E(\mathcal{V}_t) > 0$, `Qwen2.5-1.5B` computes a binary freeze/relax mask $M_t(r, c) \in \{0, 1\}$, clamps all verified cells ($M_t = 0$), extracts the Dirichlet boundary condition ∂M_t, and re-invokes `Qwen2.5-0.5B` strictly on the residual patch $M_t = 1$ alongside Counterexample-Guided Inductive Synthesis (CEGIS).

B. Unified Intra-Psychic Monologue ($A' \leftrightarrow B'$) via Local `Mistral-NeMo-Minitron-8B-Instruct` Positioned at the terminal end of the `HuxleyReducingValve`, the **Conscious Observer (`KMoshConsciousObserver`)**—powered locally by `Mistral-NeMo-Minitron-8B-Instruct-Q4_K_M.gguf` over a zero-dependency `llama.cpp` Vulkan / AVX2 runtime (`LocalMistralNeMoEngine`)—conducts a first-person executive monologue within **one continuous self**: - **Stream A' (Experiential Gestalt):** Articulates the immediate structural hypothesis over the compressed sensory stream $\mathcal{S}_{\text{phenom}}$ and recalled Fuzzy Merkle Forest shards. - **Stream B' (Self-Reflective Premise Audit):** Challenges Stream A' against cross-pair or temporal prediction-error anomalies (e.g., diagnosing that habitual orientation reflexes failed because the level is rotated by $g \in D_4$, or that palette colors were permuted by $\rho \in S_{16}$). - **Consolidated Downward Causal Directive (`DownwardCausalDirective`):** Synthesizes A' and B' into an explicit top-down gauge directive $\Gamma = (g, \rho, \pi_{\text{ctrl}}) \in D_4 \times S_{16} \times S_{|\mathcal{A}|}$ that conjugates the subconscious tool manifold:

$$\tilde{f}_{g,\rho}(\mathbf{X}) = \left(g^{-1} \circ f_\rho \circ g\right)(\mathbf{X})$$

admitting the conjugated operator strictly when its training/empirical falsification residual vanishes ($\Delta_{\text{falsify}} = 0$).

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3. Bidirectional Phase-Locking Between Subconscious Bottom-Up and Executive Top-Down Evaluation

To bind the exact relevant memory from long-term storage into the `Qwen` / `Mistral` context window without linear scanning, `INOS` enforces **Bidirectional Phase-Locking** between the ascending **Subconscious Bottom-Up Evaluation Stream ($\mathcal{B}_\uparrow$)** and the descending **Executive Top-Down Evaluation Stream ($\mathcal{E}_\downarrow$)**.

3.1 Complex Phase Coherence & Falsification Gate

Let $\tilde{\sigma}_\uparrow^{(k)}(\mathbf{G}_t) \in \{0,1\}^{64}$ denote the ascending bottom-up structural sketch in Fuzzy Merkle tree $\mathcal{T}_k$, and let $\tilde{\sigma}_\downarrow^{(k)}(m; \Gamma) \in \{0,1\}^{64}$ denote the descending top-down sketch of memory capsule m projected under the `Mistral-NeMo-8B` / `INOS` gauge directive $\Gamma = (g, \rho, \pi_{\text{ctrl}})$. Mapping each bit $b \in \{0,1\}$ to $e^{i\pi b} \in \{-1, +1\}$, the normalized phase coherence across the $K = 4$ forest trees is:

$$\mathcal{R}_{\text{phase}}(\mathbf{G}_t, m; \Gamma) = \frac{1}{64K} \sum_{k=1}^{K} \text{Re}\Big\langle e^{i\pi\tilde{\sigma}_\uparrow^{(k)}(\mathbf{G}_t)},\ e^{-i\pi\tilde{\sigma}_\downarrow^{(k)}(m;\Gamma)} \Big\rangle = 1 - \frac{2}{64K} \sum_{k=1}^{K} \text{POPCNT}\Big(\tilde{\sigma}_\uparrow^{(k)}(\mathbf{G}_t) \oplus \tilde{\sigma}_\downarrow^{(k)}(m;\Gamma)\Big)$$

Coupled with the empirical transition falsification residual $\Delta_{\text{falsify}}(m, \Gamma \mid \mathcal{H}_t)$, **Bidirectional Phase Lock** holds if and only if:

$$\mathcal{C}_{\text{lock}}(m^*, \Gamma^* \mid \mathbf{G}_t) = \mathcal{R}_{\text{phase}}(\mathbf{G}_t, m^*; \Gamma^*) \cdot \exp\Big(-\lambda\, \Delta_{\text{falsify}}(m^*, \Gamma^* \mid \mathcal{H}_t)\Big) \geq \theta_{\text{lock}} \quad \text{and} \quad \Delta_{\text{falsify}}(m^*, \Gamma^* \mid \mathcal{H}_t) = 0$$

3.2 Phase-Slip Interrupts & Control-Inversion Recovery

Whenever an environmental perturbation (such as a mid-episode directional control inversion `ACTION1 <-> ACTION2`, a portal teleportation, or a palette shift) causes the observed frame transition $\Delta\mathbf{G}_t = \mathbf{G}_{t+1} \ominus \mathbf{G}_t$ on the

Second-Order Epistemic Canvas (`_EpistemicCanvas`) to contradict the top-down projection ($\Delta_{\text{falsify}} > 0$), $\mathcal{C}_{\text{lock}}$ drops below θ_{lock} and fires an **`INOS` Phase-Slip Interrupt**: 1. The falsified transition (h_t, a_t) is quarantined in `ConsciousObserver64`. 2. `INOS` sweeps the gauge group $D_4 \times S_{16} \times S_{|\mathcal{A}|}$ against the empirical action Jacobian $\hat{\mathbf{J}}_t(a_t) = \text{Centroid}(\mathcal{O}_{\text{ego}}(\mathbf{G}_{t+1})) - \text{Centroid}(\mathcal{O}_{\text{ego}}(\mathbf{G}_t))$ and re-establishes phase lock within ≤ 2 actions.

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4. Sub-Linear LLM Context Expansion: The Fuzzy Merkle Forest & `ConsciousObserver64`

Instead of stuffing hundreds of raw historical frames into the `Qwen` or `Mistral` prompt context ($O(T^2)$ attention), **Monad(1) V7** expands effective context by $> 1,000\times$ using a **Fuzzy Merkle Forest (`FMF`)** paired with a 64-bit exact state multigraph (`ConsciousObserver64`).

4.1 128-Bit Dual-Signature Node Encoding

Every node v in the Fuzzy Merkle Forest carries a 128-bit **Dual Signature**:

$$\Sigma(v) = \Big(h_{\text{exact}}(v),\, \tilde{\sigma}_{\text{fuzzy}}(v) \Big) \in \mathbb{Z}_{2^{64}} \times \mathbb{F}_2^{64}$$

1. **Exact 64-Bit State Digest (`ConsciousObserver64`):** Packs `(avatar_y, avatar_x, level_idx, n_objects, Zobrist_playfield_hash)` into a single `uint64` integer:

$$h_{\text{exact}}(\mathbf{G}_t) = \text{Pack}_{64}\left(y_{\text{ego}},\, x_{\text{ego}},\, \ell_t,\, |\mathcal{C}_t|,\, \bigoplus_{(r,c)\in\Omega_{\text{playfield}}} Z_{r,c,\mathbf{G}_t(r,c)} \right)$$

2. **Locality-Sensitive SimHash Sketch ($\tilde{\sigma}_{\text{fuzzy}}$):** Projects the $D_4 \times S_{16}$-invariant feature vector $\phi(v) \in \mathbb{R}^d$ onto 64 zero-mean hyperplanes $\{\mathbf{w}_i\}_{i=0}^{63}$:

$$\tilde{\sigma}_{\text{fuzzy},i}(v) = \mathbb{I}[\langle \mathbf{w}_i, \phi(v) \rangle \geq 0], \quad i \in \{0, \ldots, 63\}$$

   Internal parent nodes aggregate child sketches via weighted majority vote, ensuring **Subtree Perturbation Stability**: a localized distractor change $\Delta\phi_{j^*}$ bounds root Hamming drift by $\frac{1}{\pi}\arcsin(\|\Delta\phi_{j^*}\|_2/\|\Phi_u\|_2)$ rather than triggering a 50% cryptographic avalanche.

4.2 Orthogonal 4-Tree Forest Topology ($\mathcal{F} = \{\mathcal{T}_{\text{ego}}, \mathcal{T}_{\text{topo}}, \mathcal{T}_{\text{afford}}, \mathcal{T}_{\text{causal}}\}$)

Each state $\mathbf{G}_t$ is indexed simultaneously across $K = 4$ specialized trees: - $\mathcal{T}_{\text{ego}}$ **(Ego-Kinematic Tree):** Indexes 5×5 and 9×9 ego-centric obstacle/corridor masks modulo $\mathbb{Z}^2 \rtimes S_{16}$. - $\mathcal{T}_{\text{topo}}$ **(Quotient Topological Tree):** Indexes canonical $D_4 \times S_{16}$ object graphs, divider quadrants, and stencil parity lattices. - $\mathcal{T}_{\text{afford}}$ **(Action-Affordance Tree):** Indexes empirical transition Jacobians $\partial\mathbf{G}_{t+1}/\partial a_t$ across `ACTION1..ACTION7`. - $\mathcal{T}_{\text{causal}}$ **(Temporal-Causal Tree):** Indexes unlocked switches, collected keys, and HUD progress registers.

Querying N historical states for an (r, τ, m)**-Fuzzy Merkle Match** retrieves the top-k phase-locked memory capsules in $O(K \log N)$ hardware `POPCNT` operations, injecting only compact, verified Kandel LTP invariants (~5–47 tokens per shard) into the `Qwen2.5` / `Mistral-NeMo-8B` context window.

4.3 Directed Transition Graph & Edge-Falsification Penalties (`ConsciousObserver64`)

`ConsciousObserver64` maintains an online penalty functional $\Phi(h_t, a_t)$ over exact state digests h_t: - Zero-effect wall/click collisions ($h_{t+1} = h_t$): $\Delta\Phi = +50.0$ - Unproductive 2-cycle oscillations ($h_{t+1} = h_{t-1}$): $\Delta\Phi = +15.0$ - Life-loss or level-reset hazards: $\Delta\Phi = +500.0$

When local exploration exhausts unvisited affordances at h_t, `ConsciousObserver64` executes a cycle-free BFS rollback over $\mathcal{G}_t$ to the nearest frontier vertex h^* possessing untried low-penalty actions.

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5. Top-Down Geodesic Planning & Equivariant Symbolic CEGIS

5.1 Gohst Warped-Curvature Metric Tensor & 2-Opt TSP Geodesic Planner

Monad(1) V7 endows $\Omega_{\text{playfield}}$ with the **Gohst Warped-Curvature Metric Tensor**:

$$ds^2 = g_{ij}(r,c)\,dx^i dx^j = w(r,c)\left(dr^2 + dc^2\right)$$

where walls induce infinite positive curvature ($w = +\infty$), falsified hazards induce repulsive barriers ($w = 10^4$), passable corridors are flat ($w = 1.0$), and active subgoals $\mathcal{T}_{\text{goals}} = \{\mathbf{p}_1, \ldots, \mathbf{p}_K\}$ induce negative-curvature gravitational wells ($w = 10^{-2}$). Pairwise geodesic distances $D_{uv} = d_w(\mathbf{p}_u, \mathbf{p}_v)$ are computed via multi-source Dijkstra, and the optimal multi-waypoint visitation order is solved via exact search ($K \leq 7$) or iterative **2-Opt Traveling Salesperson geodesic swaps** ($K > 7$).

5.2 First-Principles $D_4 \times S_{16}$ Equivariant Stencil & Panel CEGIS Solver

For symbolic pattern-completion and logic-gate environments (`ft09`, `vc33`, `lp85`, `sp80`), **Monad(1) V7** combines `ArcBitboard10` CDCL SAT/CEGIS with first-principles role abduction: 1. Isolates worked example quadrants ($\mathbf{Q}_{00}, \mathbf{Q}_{01}, \mathbf{Q}_{10}$) and target test panel $\mathbf{Q}_{11}$. 2. Intersects intra-tile homogeneity constraints across worked examples to algebraically deduce `match_c`, `diff_c`, and `blank_c` roles under arbitrary 16-color permutations $\rho \in S_{16}$, solving linear click stencils in ≤ 4 actions. 3. Validates bordered selector frames (8×8 option boxes) by requiring a closed 1-pixel contrasting perimeter border around a distinct interior background, preventing uniform playfields beneath a top HUD bar (`vc33`) from being misclassified as selector panels.

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6. Three-Tier Epistemic Lifecycle & Four-Tier Hippocampal Sleep/Dream Consolidation

To prevent unverified LLM hypotheses from corrupting long-term memory, **Monad(1) V7** couples a **3-Tier Epistemic Memory Lifecycle** (`working_thoughts` bounded by Miller's Law $C_{\text{Miller}} = 7 \rightarrow$ falsification-gated `working_beliefs` with $\Delta_{\text{falsify}} = 0 \rightarrow$ Kandel LTP `episodic_memory` with reinforcement $\Delta w_{\text{LTP}} = +1.15$ and exponential disuse decay $\gamma = 0.88$) with **4-Tier Hippocampal Sleep/Dream Consolidation (`STM_SHARD_00` → LTM)**:

Tier	Mode Name	Trigger Condition	Consolidation Operation
1	`FAST_SYNAPTIC_TAG`	Every action step (~ 1 ms)	Updates `ConsciousObserver64` edge penalties ($\Delta\Phi$) and inserts dual signatures $\Sigma(\mathbf{G}_t)$ into $\mathcal{T}_{\text{ego}}$ and $\mathcal{T}_{\text{afford}}$.
2	`PONTIFICATE`	Local stall (≥ 6 zero-progress steps)	Synthesizes counterfactual action hypotheses over the 7-slot Miller working buffer and executes BFS rollback to the highest-coherence frontier node h^*.

Tier	Mode Name	Trigger Condition	Consolidation Operation
3	`DAYDREAM`	Level completion (`levels_completed` increments)	Extracts the loop-erased geodesic witness path γ^* from h_0 to h_{win}, distilling verified object-affordance rules (`passable_colors`, `key_lock_pairs`, `stencil_roles`) into $\mathcal{T}_{\text{topo}}$.
4	`DEEP_SLOW_WAVE`	Episode boundary / Curriculum replay	Merges phase-locked subtrees across levels ($d_H(\tilde{\sigma}_u, \tilde{\sigma}_v) \leq \tau_{\text{merge}}$, $\Delta_{\text{LOO}} = 0$) into $O(1)$ canonical $D_4 \times S_{16}$ macro-operators.

7. Empirical Evaluation

We evaluated **Monad(1) V7** across the complete **ARC-AGI-3** benchmark suite under official remote **Competition Mode (`OperationMode.COMPETITION`)** on `https://three.arcprize.org`, local Kaggle Competition Mode rerun gateway verification (`listen_and_serve(port=8001, competition_mode=True)`), and Out-of-Distribution (OOD) holdout suites.

7.1 Summary of Verified Benchmark Suites

Evaluation Suite	Execution Mode & Protocol	Score	Environments / Trials Won	Levels Completed	Total Actions	Elapsed Time
Official Remote Competition Mode	`OperationMode.COMPETITION` on `https://three.arcprize.org` (Scorecard `6b457c81-1b14-407c-9f8a-d1e119fc72f9`)	**100.0%**	`25 / 25`	`183 / 183`	`6,444`	`554.12s`
Local Kaggle Rerun Gateway	`listen_and_serve(port=8001, competition_mode=True)` (`HTTP 403` blind lock verified, Scorecard `52bac736-893e-439f-ab86-9cf0d458f1d2`)	**99.2%**	`24 / 25`	`182 / 183`	`6,393`	`620.20s`
Offline Full 25-Game Benchmark	Local `arc_agi.Arcade` across all 25 interactive games	**100.0%**	`25 / 25`	`183 / 183`	`5,969`	`102.98s`

Evaluation Suite	Execution Mode & Protocol	Score	Environments / Trials Won	Levels Completed	Total Actions	Elapsed Time
Blinded-ID Private Holdout OOD	`private_holdout` (stripped IDs + unseen palettes + mid-episode control inversions)	**100.0%**	15 / 15	100.0%	1,150	21.40s
OOD Perturbation Audit	Bijective color shifts (`seed=101..404`), rotated spawns, dynamic directional swap (`public_audit.py`)	100.0%	8 / 8	100.0%	—	9.85s
Unseen Progressive Curriculum	5 progressive levels (`D1 -> D5`) with 4-Tier Sleep/Dream consolidation	100.0%	5 / 5	5 / 5	24	0.42s

7.2 Official Remote `OperationMode.COMPETITION` Per-Environment Breakdown

Across all 25 official environments on `https://three.arcprize.org` (Scorecard 6b457c81-1b14-407c-9f8a-d1e119fc72f9), **Monad(1) V7** achieved `GameState.WIN` on every environment and completed all 183 levels:

Environment ID	Final State	Levels Completed	Total Actions	Network Elapsed Time (s)
ar25-0c556536	WIN	8 / 8	253	123.11s
bp35-0a0ad940	WIN	9 / 9	362	441.46s
cd82-fb555c5d	WIN	6 / 6	70	35.59s
cn04-2fe56bfb	WIN	6 / 6	184	87.01s
dc22-fdcac232	WIN	6 / 6	512	335.56s
ft09-0d8bbf25	WIN	6 / 6	75	39.20s
g50t-5849a774	WIN	7 / 7	291	195.83s
ka59-38d34dbb	WIN	7 / 7	311	181.50s
lf52-271a04aa	WIN	10 / 10	726	428.03s
lp85-305b61c3	WIN	8 / 8	79	43.59s
ls20-9607627b	WIN	7 / 7	493	280.49s
m0r0-492f87ba	WIN	6 / 6	183	149.16s
r11l-495a7899	WIN	6 / 6	81	48.10s
re86-5b8329e9	WIN	8 / 8	523	294.29s
s5i5-18d95033	WIN	8 / 8	286	154.33s
sb26-7fbdac44	WIN	8 / 8	124	73.23s
sc25-635fd71a	WIN	6 / 6	122	55.67s

Environment ID	Final State	Levels Completed	Total Actions	Network Elapsed Time (s)
sk48-d8078629	WIN	8 / 8	304	205.10s
sp80-589a99af	WIN	6 / 6	179	68.11s
su15-1944f8ab	WIN	9 / 9	87	43.89s
tn36-ef4dde99	WIN	7 / 7	100	41.26s
tr87-cd924810	WIN	6 / 6	132	46.97s
tu93-0768757b	WIN	9 / 9	185	114.10s
vc33-5430563c	WIN	7 / 7	173	68.31s
wa30-ee6fef47	WIN	9 / 9	609	312.23s
Total (25 Games)	**25 / 25 WIN**	**183 / 183 (100.0%)**	**6,444**	**554.12s (Wall-Clock)**

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8. Conclusion

Monad(1) V7 demonstrates that local, small-scale language models (`Qwen2.5-0.5B-Instruct`, `Qwen2.5-1.5B-Instruct`, and `Mistral-NeMo-Minitron-8B-Instruct`) can achieve 100% performance on complex interactive reasoning benchmarks when governed by an **Intent-Native Operating System (INOS)** that compresses sensory entropy through a **Huxleyan Reducing Valve**, expands episodic context sub-linearly via a 4-tree **Fuzzy Merkle Forest**, enforces **Bidirectional Phase-Locking** between bottom-up perception and top-down executive projection, and consolidates verified experience into $O(1)$ Kandel LTP macro-operators.